International Economics (T6) **January 7, 2026**

Balance of Payments

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Learning Obectives

- Understand External Accounts
- Learn about components of Balance of Payments Accounts
- Realise the importance of Current Account Balance

1 External accounts of a country

External Accounts

External Accounts

BoP Acc

A nation's BOP measures the international flow of goods, services, and capital during a one-year period (flow concept).

IIP

A nation's international investment position measures total amount and distribution of assets abroad and foreign assets in the nation at the end of the year (stock concept).

1.1 Credit and Debit Transactions

Credit (+)

- Transactions that involve receipt of payments from foreign sources.
- Exports of Goods and Services
- Unilateral transfers (gifts) from foreigners
- Financial inflows (Rise ↑ in foreign assets in a nation; Reduction ↓ in a nation's assets abroad).

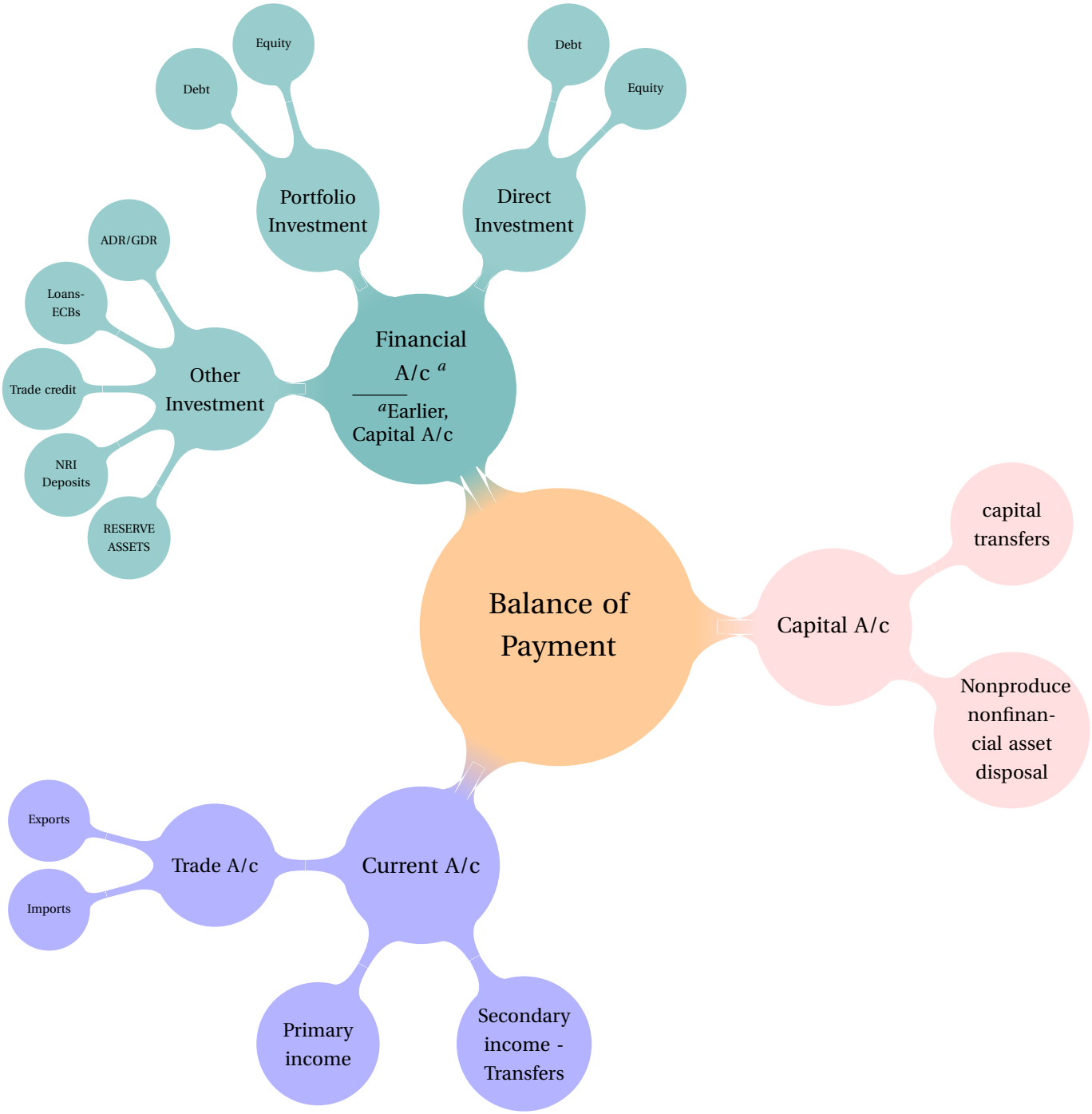
Debit (-)

- Transactions that involve payments to foreign sources.
- Imports of Goods and Services
- Unilateral transfers (gifts) to foreigners
- Financial outflows (Rise ↑ in a nation's assets abroad; Reduction ↓ in foreign assets in a nation).

1.2 Double entry book-keeping

In BoP accounting, each international transaction is recorded twice – once as a credit and once as a debit.

2 BOP Account



2.1 Current Account

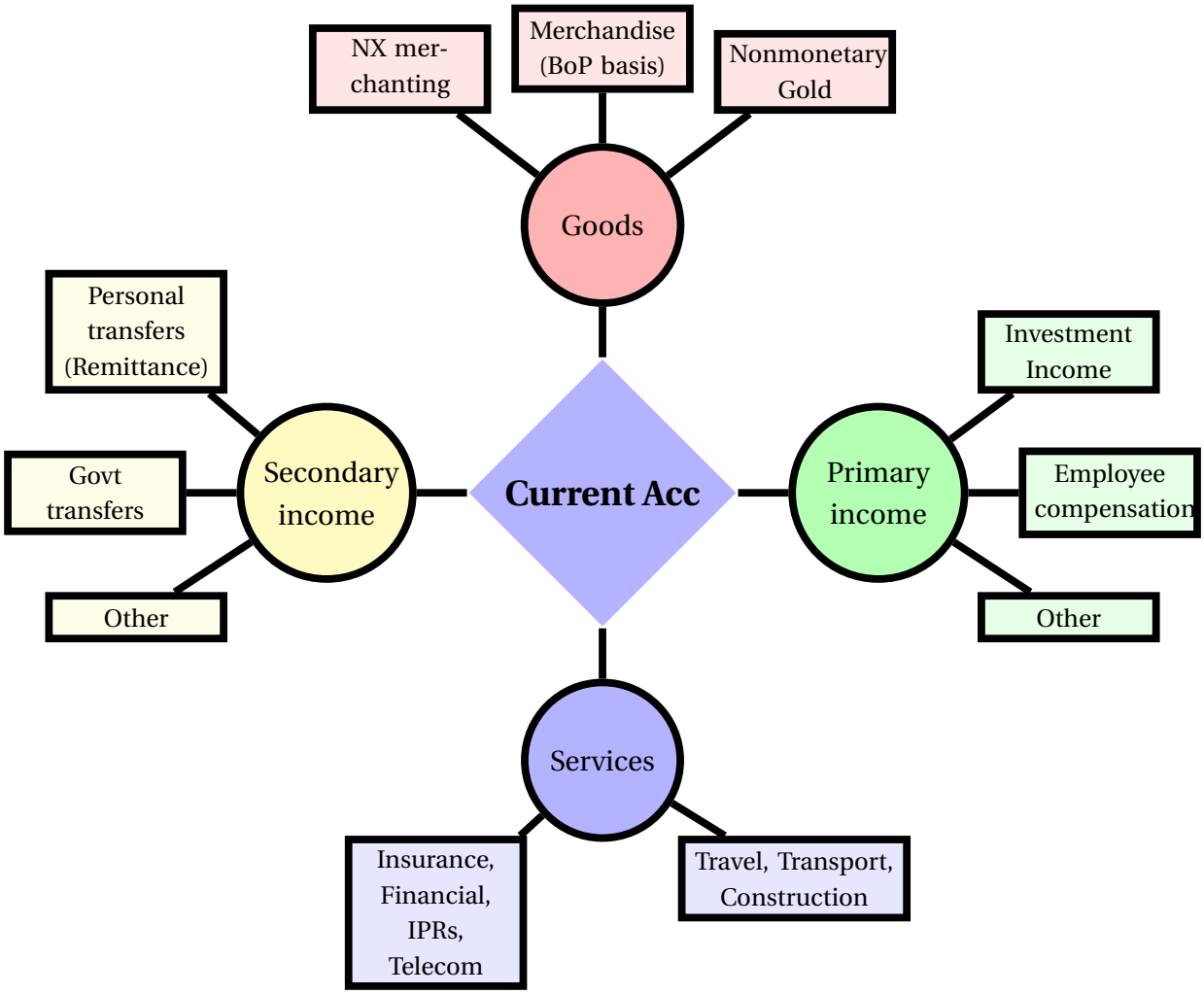
Current Account (with examples)

The current account in a country's Balance of Payments is a record of its transactions in goods, services, income, and current transfers with the rest of the world.

- Goods (exports and imports of tangible items)
- Services (trade in intangible items such as tourism, banking, and IT)
- Primary Income (earnings from investments and employment abroad, such as interest, dividends, and wages)
- Current transfers (unilateral transfers such as remittances, foreign aid, and gifts)

Accounting Entries:

Item	Debit (Dr)	Credit (Cr)
Goods Export	–	1000
Services Import	400	–
Income Received	–	150
Current Transfers Paid	50	–
Total	450	1,150


NX mer-
chanting
Merchandise
(BoP basis)
Nonmonetary
Gold
Goods
Personal
transfers
(Remittance)
Investment
Income
Govt
transfers
Secondary
income
Current Acc
Primary
income
Employee
compensation
Other
Other
Services
Insurance,
Financial,
IPRs,
Telecom
Travel, Transport,
Construction

3 Capital Account (BoP)

Capital Account (with examples)

The capital account in a country's Balance of Payments records transactions that involve the transfer of ownership of assets between residents and non-residents. It mainly includes capital transfers and acquisition/disposal of non-produced, non-financial assets.

- Capital transfers (debt forgiveness, migrants' transfers, transfer of ownership of fixed assets)
- Acquisition/disposal of non-produced, non-financial assets (such as patents, copyrights, trademarks)

Accounting Entries:

Item	Debit (Dr)	Credit (Cr)
Debt Forgiveness Received	–	200
Migrants' Transfers Paid	50	–
Sale of Patent	–	100
Purchase of Trademark	80	–
Total	130	300

4 Financial Account

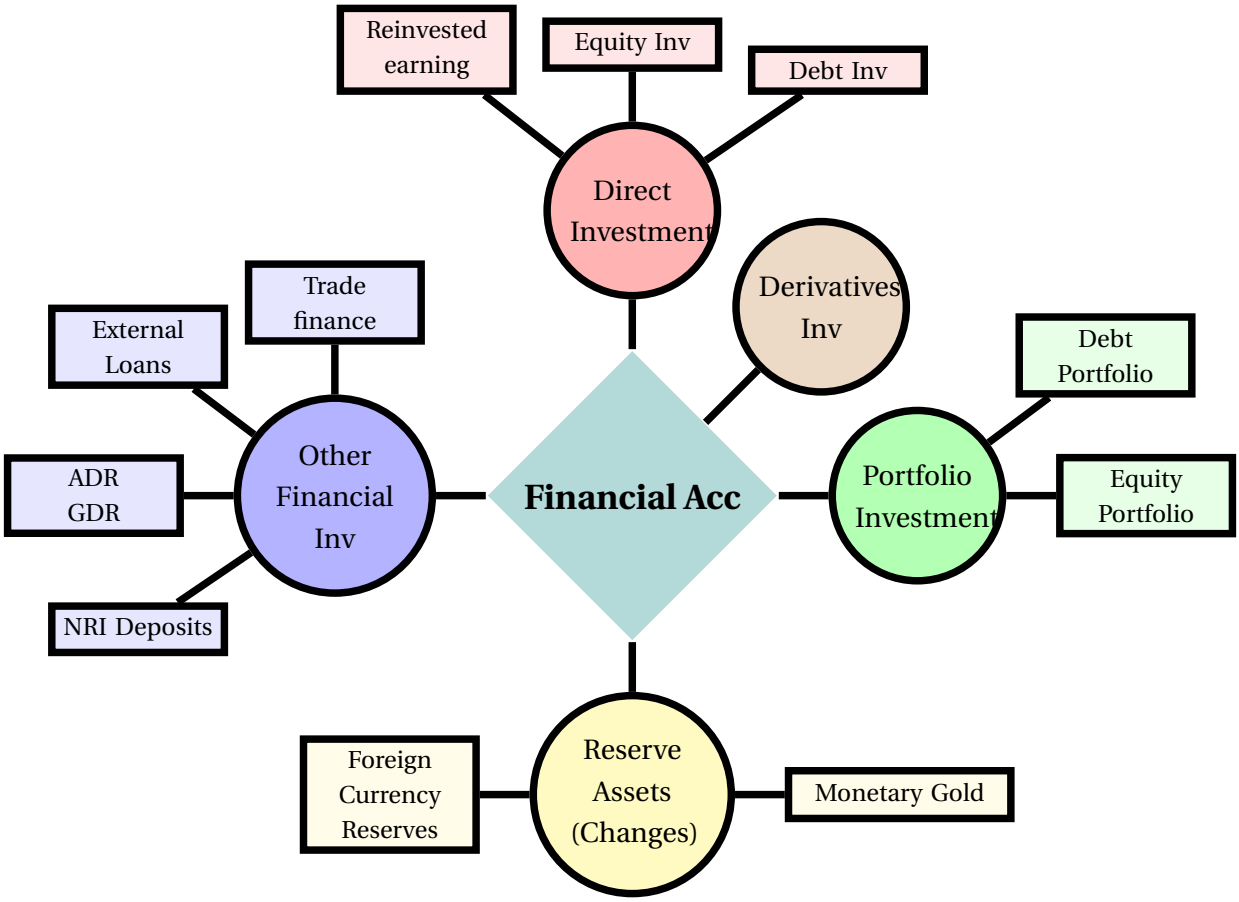
Financial Account (with examples)

The financial account in a country's Balance of Payments records transactions that change the ownership of financial assets and liabilities between residents and non-residents. It includes direct investment, portfolio investment, other investments, and reserve assets.

- Direct investment (e.g., purchase of a foreign company, setting up subsidiaries)
- Portfolio investment (e.g., buying foreign stocks and bonds)
- Other investments (e.g., loans, currency deposits, trade credits)
- Reserve assets (e.g., changes in official reserves held by the central bank)

Accounting Entries:

Item	Debit (Dr)	Credit (Cr)
Direct Investment Abroad	500	–
Portfolio Investment Received	–	300
Loan Given to Foreign Entity	200	–
Increase in Reserve Assets	100	–
Total	800	300



4.0.1 ADRs and GDRs

GDRs Global Depository Receipts are equity instruments, issued abroad by authorized overseas corporate bodies against the shares/bonds of Indian companies held with nominated domestic custodian banks. GDRs are listed mostly on the European (Luxembourg, London) Stock Exchanges and Asian (Hong Kong/Singapore) exchanges. Indian GDRs are mostly sold to foreign institutional investors. GDRs work as follows:

1. Indian company will issue a corresponding number of shares to an overseas *depository bank*.
2. GDRs are freely transferable outside India, and dividend is paid in Indian Rupees only.
3. GDR trading happens in a foreign stock exchange, between market makers on an OTC (over-the-counter) basis.
4. Holder of GDRs can instruct the depository to convert them into underlying shares and sell them in the domestic market. The depository exercises voting rights on behalf of the GDR holder.

ADRs American Depository Receipts, are negotiable instruments, denominated in USD, and issued by a US Depository Bank. A non-US company that seeks to list in the US, deposits its shares with the depository bank and receives a receipt, based on which which the company issues American Depository Shares (ADS). One notable difference between an ADR and GDR is that, ADR issues access to retail as well as institutional investors in the US; whereas, GDR gives access only to US institutional market. ADRs are listed and trades on NYSE and NASDAQ.

4.1 SDRs

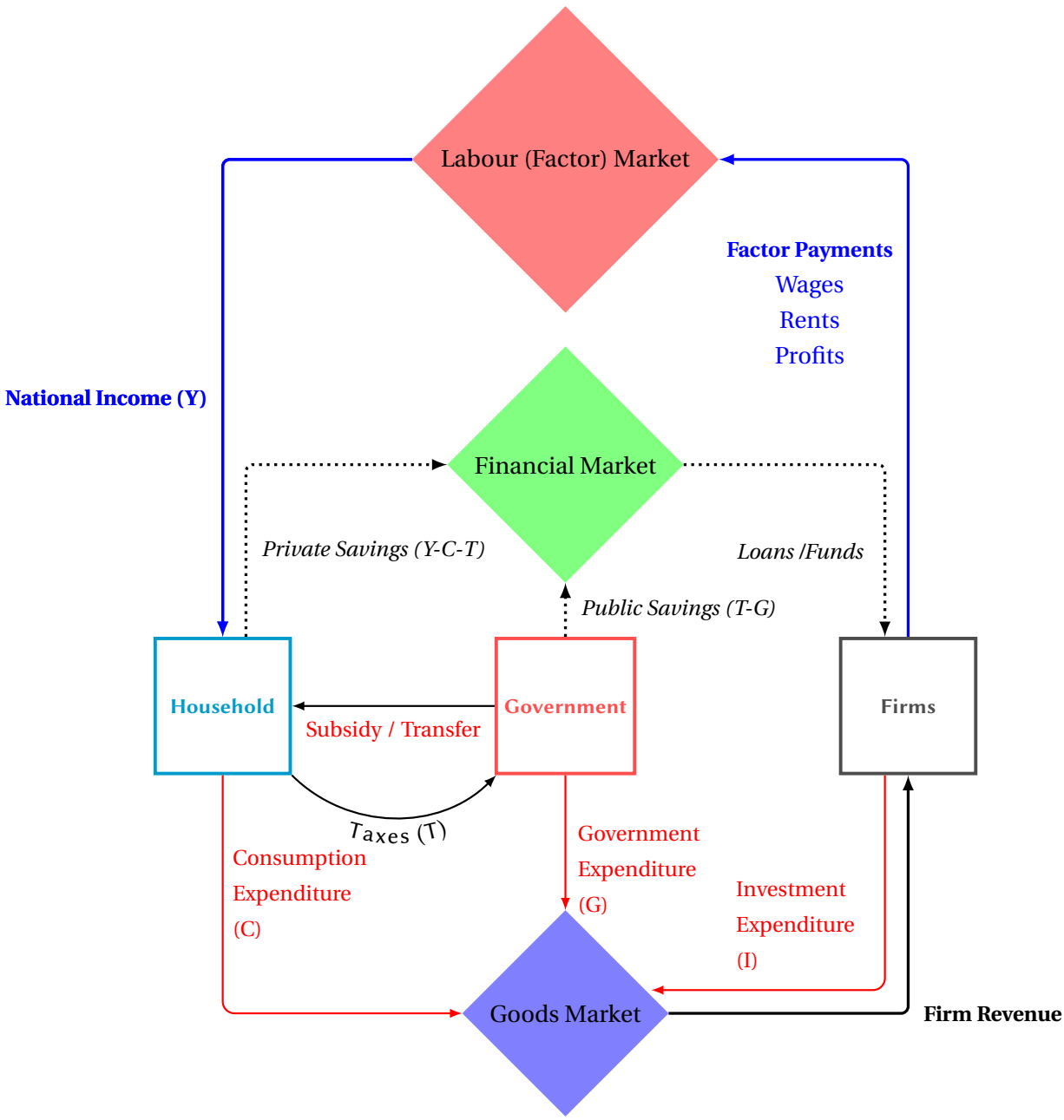
Special Drawing Rights: (SDR) is an international reserve asset, created by the IMF in 1969 to supplement its member countries' official reserves.

- SDR is neither a currency nor a claim on the IMF. It is a potential claim on the freely usable currencies of IMF members
- Originally, SDR = 0.89 grams of fine gold
- Now, 1 SDR = Weighted basket of five currencies.

Currency	Weights (2022)	Fixed units of currency
US dollar	43.38	0.57813
Euro	29.31	0.37379
Chinese Renminbi	12.28	1.0993
Japanese Yen	7.59	13.452
Pound Sterling	7.44	0.08087

5 Open Macroeconomy - Essentials

5.1 CircularFlow



5.2 Open Economy - Identity

In an Open economy the expenditure-income identity is:

$$\text{Income} = \text{Expenditure} \tag{1}$$

$$Y = C + I + G + X - M \tag{2}$$

$$\underbrace{Y - C - T}_{\text{Private Saving}} = I + \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{3}$$

$$S^{\text{pvt}} - I = \underbrace{G - T}_{\text{Gov. Deficit}} + \underbrace{X - M}_{\text{Net Exports (NX)}} \tag{4}$$

5.3 Private Savings in an Open economy

Uses of Domestic Private Savings in an Open economy

$$S^{PVT} = I + NX + \text{Gov. Deficit}$$

- Private Saving
- Investment Spending
- Net Exports
- Goverrnment Deficits (Negative Public Saving)

5.4 Importance of Current Account Balance

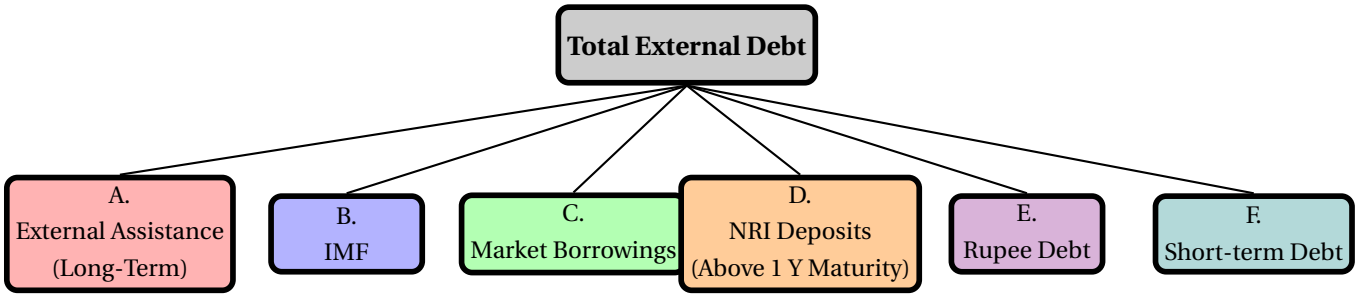
Importance of Current Account

$$\underbrace{(M - X)}_{\text{Current Acc. Deficit}} = \underbrace{G - T}_{\text{Govt. Deficit}} + \underbrace{I - S^{\text{pvt}}}_{\text{Pvt Sector Deficit}}$$

6 Videos

Special Drawing Rights - Video

7 The External Debt



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